

Chapter 12

Dhandho 401: Margin of Safety—Always!

In case you haven't noticed, you're done with all the freshman, sophomore, and junior level Dhandho course work. You're a senior now—just one more lap to go. You love this stuff so much that you've already decided to go on to Dhandho graduate school and get a MDI degree—a Master of Dhandho Investing. You've got three more chapters to ingest and then you'll be done with the undergraduate Dhandho course work. The last three chapters are the graduate level course work. Once you inhale those and make them part of your very psyche, you'll have gotten yourself the much coveted MDI. Reliable sources have suggested that an MDI is vastly superior to a Harvard MBA, and it will likely make you wealthier.

Mr. Buffett hosts business school students from over 30 universities every year. The schools represent a wide range—from Harvard and Yale to the University of Tennessee and Texas A&M. The students get to ask him questions on almost any subject for over an hour before heading out to have lunch with Mr. Buffett at his favorite steakhouse. Virtually every group asks Mr. Buffett for book recommendations. Mr. Buffett's consistent best book recommendation for several decades has been Benjamin Graham's *The Intelligent Investor*,¹ as he stated to students from Columbia Business School in Omaha, Nebraska, on March 24, 2006:

The Intelligent Investor is still the best book on investing. It has the only three ideas you really need:

1. Chapter 8—The **Mr. Market** analogy. Make the stock market serve you. The C section of the Wall Street Journal is my business broker—it quotes me prices every day that I can take or leave, and there are no called strikes.
2. A stock is a piece of a business. Never forget that you are buying a business which has an underlying value based on